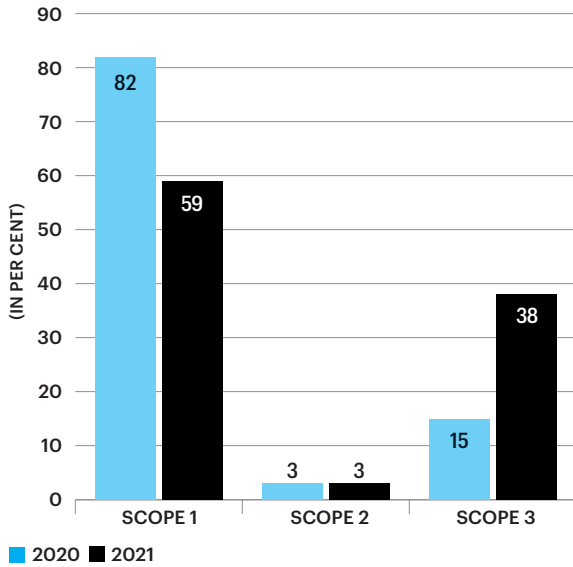


CHOKING POINT

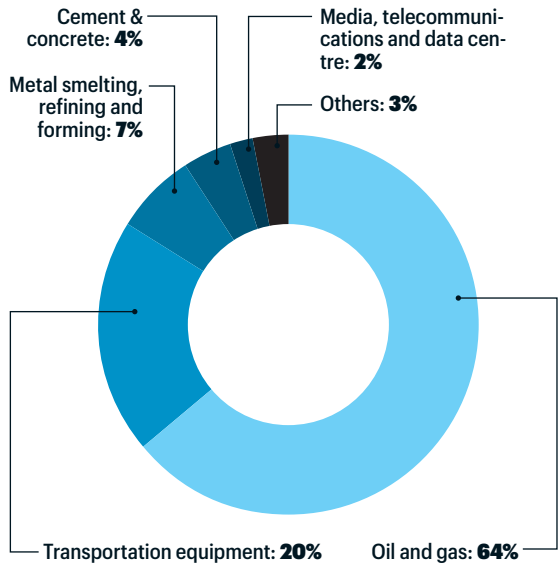
Scope 3 emissions have more than doubled between 2020 and 2021



FIGURES ARE PERCENTAGE OF EMISSIONS RECORDED; VOLUNTARY DISCLOSURE BY 67 COMPANIES IN 2020 AND 85 IN 2021 **SOURCE:** CPD INDIA DISCLOSURE REPORT 2021

THE BELCHING BUNCH

Sectors such as oil and gas and transport equipment contribute the most to Scope 3 emissions



SOURCE CPD INDIA DISCLOSURE REPORT 2021

hired cabs. Increasing the share of renewable energy in the consumption mix and adopting a life-cycle approach for capital goods also contributes to the reduction in our Scope 3 emissions,” explains Nilanjan Roy, CFO of Infosys.

But no one strategy fits all. While the task at hand for a company in the services industry looks difficult, measuring and abating Scope 3 for those in manufacturing is even more challenging due to their large and complicated supply chains.

Kolkata-headquartered ITC, which has a diversified presence across industries such as FMCG, hotels, software, packaging, paperboards, speciality papers and agribusiness, while working extensively on Scope 1 and 2 emissions over the years, has undertaken a

detailed exercise to estimate its Scope 3 emissions with the help of external subject matter experts. ITC has implemented several interventions to address Scope 3 emissions across its agri value chains, logistics infrastructure and plastic packaging. To reduce its carbon footprint across the agri value chains, the company works closely with farmers to promote climate-resilient practices such as zero tillage, soil conservation measures, balanced crop nutrition, drip irrigation and large-scale watershed development programmes.

“We have implemented a Climate-Smart Village initiative, which is aimed at building climate resilience of farmers, and has covered over 800,000 acres across 2,500 villages till date. The initiative has resulted in reduction

of GHG emissions by up to 66 per cent while enhancing net farmer income by 93 per cent for soybean crop in Madhya Pradesh,” explains Madhulika Sharma, Chief Sustainability Officer of ITC.

As Scope 3 emissions happen along the value chain, an organisation working towards sustainable business practices should also ensure the adoption of sustainability measures by their value chain partners. “The value chain partners should be incentivised for adopting these measures, [and] they should also carry a risk to lose out on a potential business opportunity in the absence of these measures,” says Sankar Chakraborti, Chairman of ESGrisk.ai & Group CEO of Acuité.

British multinational consumer goods company Unilever has set ambitious science-based targets.